

While the 4% Rule is not perfect, using it as a guide provides a tangible target. The 4% Rule also has some other less obvious implications.

The 4% Rule is based on market returns over various periods. When you invest in index funds, you are accepting market returns rather than trying to beat the market. This is a wise decision. The majority of people who try to beat the market fail to do so. Therefore, if you are not an index fund investor, the assumptions of the 4% Rule research aren't valid.

The 4% Rule also has important implications related to investment fees. The average mutual fund charges annual fees of about 1 percent of assets each year. Investment advisory fees can also average 1 percent of assets per year. Investment fees are provided in percentages of assets rather than real dollars because they look so small. However, reframing investment expenses in the context of the 4% Rule means that someone paying “only” 2 percent of their portfolio in investment fees leaves only 2 percent left to support their lifestyle. Someone paying “only” 2 percent advisory fees who saves \$1 million would only be able to spend \$20,000